



“We are currently running our AI/ML models in parallel, till we are sufficiently confident of being able to fully automate the claims process”

SANJAY DATTA

CHIEF-UNDERWRITING AND CLAIMS, ICICI LOMBARD



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ROHAN KUMAR

CEO & CO-FOUNDER, TOFFEE INSURANCE

Sanjay Datta, Chief of Underwriting and Claims at ICICI Lombard.

Rohan Kumar, CEO and Co-founder of Toffee Insurance, agrees. “Cutting down the time duration of claims is complex and needs to be simplified. But where you used to take 15 days, now it can take seven days. This is the good part, as document submission has become easier; now it only takes time to process the document.” He adds that the sector has seen tremendous improvement over the years. “Simple claims like OPD claims, malaria or dengue covers are easy to process, as in those products assessment is very simple. The money can be paid [straight] as these are fixed-benefit policies. Instant payout will happen in specific policies and not in a blanket way.”

Not falling behind, Digit Insurance has also launched a video assessment for motor own damage claims, which empowers its workshops and customers to do a video survey at a convenient time, without depending on a surveyor to reach the workshop. The company says this has reduced turnaround time for motor claims by half.

Gangadhar S.J., Head-Technology, Digit General Insurance, says,

“For health claims, models have been put in place to cull out relevant information from all the documents shared by a customer and to classify them under categories such as discharge summary, doctor’s notes, pharmacy bills, etc. This acts as a catalyst in expediting processes and timely communication with customers, should there be any missing or incorrect documents.”

As AI models have been built for the automation of claims processes to reduce turnaround time (TAT), the one area where fully automated claims are getting processed is flight cancellation insurance. “We did an API integration with the travel portal, where if you buy and cancel on the travel portal, details are immediately passed on to us. We will trigger a link to the customer, and the customer needs to just fill in their bank details, and payment is done instantly,” says Ghosh of Edelweiss.

PRODUCT INNOVATION

Another big advantage of technology in the insurance industry is the degree of customisation it allows, depending on the market requirement. For instance, you no more need to

buy the cover for an entire mobile phone; instead you can just opt for the screen cover. “We should see more and more innovation around short-term, moment-based covers. There are products that you need for a certain period of time, and you are done with it. For example, flight cancellation, a sports injury cover during a tournament, a home cover while on vacation. It could be as short as one day also,” says Ghosh.

Taking the concept of ‘bite-sized insurances’ further to ‘embedded insurance’, Toffee Insurance sells insurance cover at points of sale. The company has empanelled with insurance companies as their corporate agents, to tailor specific policies for policyholders. It offers bite-sized insurance products like cycle insurance, eyewear insurance and travel insurance, among others.

DATA-DRIVEN PRICING

The Insurance Regulatory and Development Authority of India (IRDAI), which regulates the sector, has also played a vital role in supporting innovation in the industry by introducing a regulatory sandbox.

This is the reason that the concept of pay-as-you-drive and pay-how-you-drive and distance-based auto insurance is becoming a reality for Indian customers. In these policies, premium rates vary based on various parameters, like a customer’s driving pattern. Technology allows insurers to have a more accurate view of how one drives, and helps them offer dynamic premium pricing for policyholders.

“InsurTech has helped customers compare and choose the right kind of products, at the correct price. It has simplified the claims processes, brought in a high degree of transparency in transactions, and simplified the entire process and journey of policy management,” says Raghavendra Rao, Chief Distribution Officer, Future Generali India Insurance. **BT**

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